## SBI HOME LOAN: MOST IMPORTANT TERMS AND CONDITIONS

**The MITC covers the following Loan Products:**

| | |
|---|---|
| 1 | General Home Loan-for Purchase/construction/Take over |
| 2 | Home Loan Take Over-Balance Transfer |
| 3 | SBI Realty-For Plot Purchase |
| 4 | COMBO Loan-Plot purchase+Construction |
| 5 | SBI Maxgain- Overdraft facility |
| 6 | NRI Home Loans |
| 7 | SBI Privilege: Home Loan for employees of State & Central Govt/PSBs/PSUs |
| 8 | Shaurya Home Loan- For Defence/Navy/Airforce personnel |
| 9 | SBI Flexipay Home Loan-higher eligibility with step up moratorium |
| 10 | Shaurya Flexi Home Loan- For Defence/Navy/Airforce personnel |
| 11 | Ashraya Home Loan: For individuals with regular source of income but without formal income proof |
| 12 | Home Loan to Non-Salaried (Differential Offerings) |
| 13 | Apon Ghar (Assam)-for Employees of Assam State Govt |
| 14 | HL for Employees of Kerala Govt |
| 15 | SBI Tribal Plus |

**Purpose for which home loan can be availed:** The loan will be sanctioned for the purpose of Purchase/ Construction/ Extension/ Repairs/ Renovation of new/ used Residential house/ Flat/ Plot of land and furnishings and interiors (hereinafter referred to as the 'project').

**Loan to Value Ratio (LTV):**

| Home Loan Amount | LTV Ratio |
|---|---|
| Up-to Rs. 30 lacs | 90% |
| Above Rs. 30 lacs and upto Rs. 75 lacs | 80% |
| Above Rs. 75 lacs | 75% |

**Rate of Interest:**

**Floating Rate of Interest: -**

Interest on the loan will be charged at a fixed spread with EBLR linked RBI REPO rate on a daily reducing balance basis at monthly rests. Interest rate will be reset with the change in benchmark rate (REPO) from time to time, on the date as decided by the Bank. The Bank has the option to reduce or increase the EMI or extend the repayment period or both consequent upon revision in interest rate.

**Intimation of change in EBLR Interest Rate*:-***

Borrower shall be deemed to have notice of change in the rate of interest when the changes in REPO rate are notified at/displayed at the branch notice board or published in a newspaper or in the website of the Bank/ RBI or made through the statement of account.

In addition to that a communication will be sent to borrower at their registered e-mail address and through SMS at their registered mobile number, as available with the Bank.

**Penal Charges:-**

- Irregularity upto 60 Days: 2.40% per annum **on the irregular portion for the period of irregularity.**

- Continuous irregular for a period beyond 60 Days: 5% per annum **on the irregular portion for the period of irregularity.**

Besides the Bank shall also charge a penalty, the rate of which shall be at the discretion of the Bank from time to time, for every bounced cheque/NACH/SI for any reason whatsoever in addition to the Penal charge as applicable (present rate - ₹ 250/- + GST for every bounced cheque/NACH/SI).

In case valid mortgage is not created by the borrower (s) in favour of the Bank for any reasons within 60 days of execution of Sale Deed, or the issue of possession letter by builder, whichever is earlier, penal charge will be recovered as below:

**For the first 15 days of delay beyond due date: Rs 5000/-.**
**Delay > 15 days: 0.50% p.a. Minimum Rs 5000/-**

(Penalty to be levied from the next day of the expiry of the stipulated/ extended time period approved for perfection of security till the security is perfected. To be calculated on the Sanctioned Limit for the period of default/ delay)

**Non-renewal of insurance policy of property:**

**For the first 15 days of delay beyond due date: Rs 5000/-**
**Delay > 15 days: 0.50% p.a. Minimum Rs 5000/-**
(To be calculated on the Sanctioned Limit for the period of default/ delay)

**Repayment:**

The loan is to be repaid in Equated Monthly Installments over the tenure of the loan. The repayment installment commences from a date specified in the sanction letter. The liability to the bank will be extinguished only when the outstanding in the loan account becomes Nil, on payment of residual amount, if any.

Dynamic SI/NACH mandates with maximum debit amount i.e. 120 % of actual EMI has to be tendered to address the issue of upward revision in rate of interest. However, the lodgement for monthly recovery will be done for actual EMI amount at the material time.

**Loan Tenor:**

Maximum 30 years (or) up to the age of 70 years (the age by which the loan should be fully repaid) of the borrower, whichever is early. For privilege and Shaurya Home Loan repayment up to 75 years of age is allowed.

**Pre-closure Charges**:-

No pre-payment/ Pre-closure penalty will be levied on floating interest Home Loans irrespective of the period for which the account has run or source of funds.

**Security:**

**Primary:-**

The loan will be secured by Equitable / Registered mortgage/extension of mortgage of the land and building/flat for which the loan is to be sanctioned.

**Collateral:-**

Liquid securities of adequate value in the form of Life Insurance policies, Government Promissory Notes, shares/ debentures, gold ornaments or such other tangible security as may be deemed appropriate, may be pledged by the customer in lieu of mortgage of the residential property financed by the Bank.

**Interim Security Pending Mortgage:-**

Wherever creation of mortgage is likely to be delayed for any valid reason, suitable security including third party guarantee, as considered necessary, may be taken for the interim period.

**Utilisation of the loan:**

The amount of the loan shall be utilized strictly for the purpose detailed in the Arrangement Letter and in the manner prescribed. The construction of the house/flat or the modification/extension proposed by the borrower in the existing house/flat should be strictly according to the plan approved by the Local Authorities/Town Planning and Development authorities. Any modification desired in the plan as originally approved, can be undertaken only after express sanction for it has been obtained from the appropriate authority.

**Insurance:**

The house/flat purchased/constructed with Bank's finance should be insured against the risk of fire/riots/earthquakes/lightning/ floods etc. in the joint names of the borrower and the Bank for the actual project cost after netting off the cost of land (including undivided share of land in case of flats), cost of stamp duty and registration charges. Cost of the same shall be borne by the borrower.